

THE WALL STREET JOURNAL.

DOW JONES | News Corp *****

MONDAY, APRIL 7, 2025 ~ VOL. CCLXXXV NO. 80

WSJ.com

★★★★ \$5.00

Last week: DJIA 38314.86 ▼ 3269.04 7.86% NASDAQ 15587.79 ▼ 10.0% STOXX 600 496.33 ▼ 8.4% 10-YR. TREASURY ▲ 2 5/32, yield 3.992% OIL \$61.99 ▼ \$7.37 EURO \$1.0961 YEN 146.99

What's News

Business & Finance

- ◆ **U.S. stock futures** fell sharply as traders bet that further volatility is ahead. Markets plunged in Asia, with Japan's Nikkei down about 6% in the morning. **B1**
- ◆ **Banks and private-equity** firms were among the biggest losers from the stock selloff last week, as companies and individuals pulled back on borrowing and as dealmaking dried up. **B1**
- ◆ **Investors poured** more than \$60 billion into money-market funds in the first few days of April, sending the assets in such funds to a record \$7.4 trillion as of Thursday. **A1**
- ◆ **Paramount Group**, a big office landlord, made at least \$4 million in previously undisclosed payments for its CEO's personal expenses and business interests, securities filings show. **B1**
- ◆ **Energy companies** that anticipated prosperity from Trump's policies now find themselves in an incipient trade war that they fear will clobber the economy and sink demand for oil. **B1**
- ◆ **American consumers** should brace for price increases and fewer options in stores, say people involved in the global networks that supply U.S. retailers. **B1**
- ◆ **Shoe and clothing** manufacturers face special challenges, with their production in Asian countries that now face enormous duties. **B3**
- ◆ **Trump's 46% tariff** on Vietnamese exports threatens a trade in goods that amounted to \$137 billion last year. **A7**

World-Wide

- ◆ **Divisions between** the two political parties over U.S. foreign policy have widened, with a poll showing that Republican voters have increasingly turned against aid to Ukraine, free trade and international commitments. **A4**
- ◆ **Trump administration** officials and lawmakers are considering a new bailout for U.S. farmers as agricultural groups warn of economic fallout from the president's tariff push. **A3**
- ◆ **Trump's global tariff** blitz adds urgency to the challenge China faces in boosting spending at home in a bid to rebalance the world's second-largest economy. **A1, A7**
- ◆ **A second child** who was diagnosed with measles and was unvaccinated against the disease died in Texas. **A2**
- ◆ **The Justice Department** suspended one of its top immigration lawyers after he criticized the Trump administration for a lack of transparency about a Maryland man who was mistakenly deported to a prison in El Salvador. **A3**
- ◆ **Ukrainian President** Volodymyr Zelensky criticized the U.S. for its muted reaction to a Russian missile strike that killed at least 18 people, reflecting growing frustration in Kyiv with Trump's efforts to end the war. **A8**
- ◆ **South Sudan teetered** on the brink of a fresh round of ethnic killing amid an intensifying rivalry between the country's president and his deputy, whom government troops detained late last month. **A6**

JOURNAL REPORT

Investing Monthly: From two paychecks to one. **B5-6**

CONTENTS		Markets.....	B9-10
Arts in Review.....	A13	Opinion.....	A15-17
Business & Finance.....	B2	Personal Journal.....	A11-12
Business News.....	B3	Sports.....	A14
Crossword.....	A14	Technology.....	B4
Heard on Street.....	B10	U.S. News.....	A2-5
Journal Report.....	B5-6	World News.....	A6-8



© 2025 Dow Jones & Company, Inc. All Rights Reserved

Easy Dozen: UConn's Back on Top



NATHAN RAY SEEBECK/IMAGI IMAGES/REUTERS

HAPPY HUSKIES: The University of Connecticut's women's basketball team on Sunday broke a nine-year drought to win their 12th NCAA championship, in a surprisingly one-sided 82-59 victory over the defending champion University of South Carolina Gamecocks in Tampa, Fla. **A14**

China Arms for Trade War After Hopes for Talks Fail

By LINGLING WEI

Beijing spent the first months of President Trump's second term trying—and failing—to figure out the new administration's approach to China. Officials hoping to build lines of communication with Washington had no luck. With Trump's latest tariffs, the magnitude of his trade assault hit home and Beijing's hope for dialogue melted into frustration and anger. Until now its response had been restrained. On Friday, Beijing matched Trump's 34% additional tariffs and for the first time it hit all U.S. prod-

ucts, no exceptions. It also restricted exports of certain rare-earth minerals, added U.S. companies to trade blacklists and aimed an antitrust probe at the China operations of U.S. chemicals and materials company DuPont. Trump's response to its retaliation suggested things would only get worse. In a social-media post, Trump wrote, "CHINA PLAYED IT WRONG, THEY PANICKED—THE ONE THING THEY CANNOT AFFORD TO DO!" The lack of communication between the two sides shows no signs of letting up. What lies ahead is likely to be a cy-

cle of tit-for-tat retaliation, making it hard to even start negotiations in the near term. Beijing had been cautiously optimistic in the Trump administration's first days. Xi Jinping dispatched a top envoy to attend Trump's inauguration, a move that was seen as an opening for fruitful communication. While Trump had threatened to hit China with tariffs when campaigning for president, he held off on *Please turn to page A10*

◆ **Vietnam's reversal of fortune.....** **A7**
◆ **China's economy is put under pressure.....** **A7**

Tariffs Erase Economy's Solid Outlook

Recession likelihood soars as uncertainty on Trump's course weighs on markets

By PAUL KIERNAN

The stock market went off a cliff last week after President Trump announced the highest tariffs in more than a century, vaporizing more than \$6 trillion of wealth in two days. Whether the real economy will follow is impossible to know. But the risks are tilting in that direction. The available evidence suggests U.S. economic fundamentals remained strong through March. Job growth accelerated, with nonfarm payrolls rising 228,000, unemployment low at 4.2%, wages rising at a healthy clip and layoffs rare. But the world changed last Wednesday, which Trump dubbed Liberation Day. He announced massive tariffs on almost every country—effectively the largest U.S. tax

increase since 1968, according to JPMorgan. On Thursday, U.S. markets suffered their steepest declines since 2020, with the S&P 500 falling 4.8%. On Friday, China retaliated with 34% additional tariffs on all goods imported from the U.S., and the S&P 500 plunged an additional 6%. The stock declines, a parallel selloff in junk bonds, the cost of tariffs, and the prospect of weaker exports from retaliatory tariffs all now weigh on the outlook. In a note titled "There Will Be Blood," JPMorgan's head of economic research, Bruce Kasman, raised the probability of a global recession to 60% from 40%. The bank expects U.S. gross domestic product to contract 0.3% in the fourth quarter of 2025 from a year earlier; it previously expected *Please turn to page A2*

◆ **Administration weighs a farmer bailout.....** **A3**
◆ **Cars were expensive even before tariffs.....** **A11**
◆ **Energy producers fret as oil prices tumble.....** **B1**

Investors Sit on Cash As Markets Stagger

By KRYSTAL HUR

Cash is looking more and more attractive these days. Stocks tumbled after President Trump escalated his trade war against the rest of the world. But rather than scooping up shares trading at cheaper prices, many investors are opting to keep their cash on hand. Stock futures opened sharply lower Sunday evening, with futures tied to the S&P 500 falling more than 2%, while those tied to the tech-heavy Nasdaq-100 slumped about 3.5%. Stocks were pounded in Asia early Monday, with Japan's Nikkei 225 down about 6% at midday in Tokyo, Hong Kong's Hang Seng Index was down about 9% and the Shanghai Composite off 6%. Investors poured more than \$60 billion into money-market funds in the first few days of April. That has sent assets in such funds to a record \$74 trillion as of Thursday, according to Crane Data going back to 1972. Market watchers have monitored the trillions of dollars that have piled up in cash investments over the past few years, with some anticipating that much of it would eventually flood into stocks and power the market's next leg higher. Those expectations are on hold for now. *Please turn to page A2*

◆ **Losers (and some winners) in the tariff chaos.....** **B1**
◆ **Heard on the Street: Weak dollar's impact.....** **B10**
◆ **'Trump Thump' is among worst market events....** **B10**

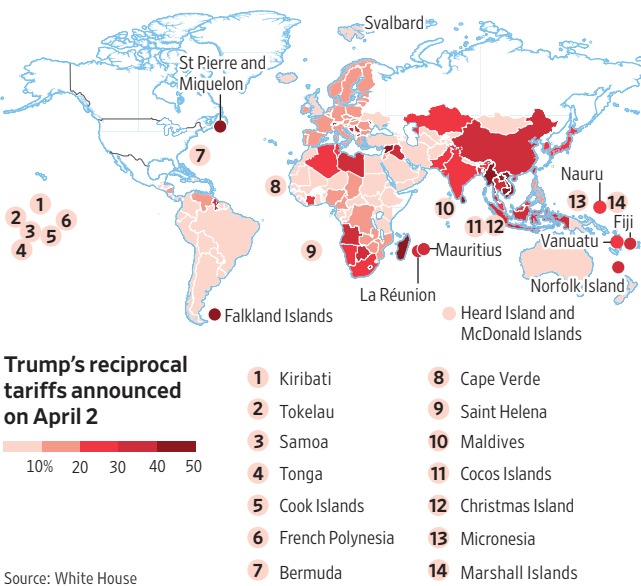
How a Tiny French Archipelago Became Trump's Top Tariff Target

Locals in remote parts of the globe try to figure out how they landed on the list

By MAX COLCHESTER AND MIKE CHERNEY

Out on the tiny islands of St. Pierre and Miquelon, locals spent several days trying to get to the bottom of a perplexing mystery: Who sold so much stuff to a buyer or buyers in the U.S. that it got hit with a tariff of 50%, the most punitive of all of President Trump's levies last week? "We were stunned," said Thierry Hamel, who works in the mayor's office on one of the islands, which are French

overseas territory perched off the coast of Canada. The question of what triggered a trade war between this barren archipelago and the world's biggest economy consumed officials. "We are 6,000 people and export nearly nothing to the U.S., except maybe some tuna," Hamel said, his shrug almost audible down the phone line. U.S. trade data show the islands sold virtually nothing to the U.S. for the past 10 years, except when \$3.4 million in *Please turn to page A10*



INSIDE



SARAH STIER/GETTY IMAGES

SPORTS

Alex Ovechkin scores his 895th career goal to break Wayne Gretzky's NHL record. **A14**



JOANNA STERN

Amazon and Apple have yet to deliver upgraded AI features to the masses. **A12**

Le Pen Guided Effort That Led to Vote Ban

By NOEMIE BISSEBIE AND STACY MEICHTRY

PARIS—Marine Le Pen convened a meeting of her party's European Parliament lawmakers in June 2014 to discuss a vital matter: how to spend the 6.5 million euros the European Union had earmarked for them to hire assistants. The sum—now equivalent to \$7.1 million—was significant, more than double the entire payroll of Le Pen's far-right party, then known as the National Front. Le Pen, according to court documents, asked the lawmakers to sign

off on a system that allowed the Le Pen family to hand out contracts and cut paychecks to members of her inner circle and other party officials. "What Marine is asking us is equivalent to signing for fictitious jobs," one of the lawmakers, Jean-Luc Schaffhauser, wrote in an email at the time to the party's then-treasurer, Wallerand de Saint-Just. "And it is the lawmaker who is criminally responsible for his or her own money, even if the party is the beneficiary of it." De Saint-Just, a trained lawyer who had groomed Le *Please turn to page A8*

Social Security Cutbacks Contribute To Chaos

By KEN THOMAS

BELLEVUE, Wash.—The line began forming about 30 minutes before the Social Security Administration field office here near Seattle was set to open its doors, swelling to about two dozen people by 9 a.m. When a security guard asked who had a scheduled appointment, about a third of the people raised their hands. Mark DeLaurenti of Bellevue was among those without an appointment. While preparing his taxes, the 70-year-old discovered an old uncashed Social Security check for about \$2,000 made out to his late father, who died in January 2024, creating a discrepancy in his tax filings. His accountant said the SSA would reissue the check. It wasn't that simple. He showed up at the field office after spending hours online and on the phone unsuccessfully trying to make an appointment. When DeLaurenti finally talked to someone at the field office, he was told to come back in three to four hours to *Please turn to page A5*